

Additional Assurance Services: Other Information

LEARNING OBJECTIVES

After studying this chapter, you should be able to:

- LO 20-1** Describe the differences among assurance services, attestation services, and audits.
- LO 20-2** Explain the applicability of the attestation standards.
- LO 20-3** Describe the nature of attestation engagements, including examinations, reviews, and agreed-upon procedures engagements.
- LO 20-4** Describe the fundamental attributes of attestation services for prospective financial statements.
- LO 20-5** Describe the fundamental attributes of attestation services for management discussion and analysis.
- LO 20-6** Describe the nature of Trust Services.
- LO 20-7** Describe the nature of *PrimePlus/ElderCare* services.
- LO 20-8** List several developing assurance services.

To this point, we have focused primarily on services involving historical financial information, but CPAs are often asked to provide a wide range of other assurance services. In this chapter, we first focus on the broad concept of assurance services. Next, we address the attestation standards, which apply to a majority of the new assurance services. Finally, we provide a detailed description of a number of existing and developing services.

Assurance Services

LO 20-1

Describe the differences among assurance services, attestation services, and audits.

Assurance services provided by CPAs are professional services that are meant to improve the quality of information or its context for decision makers and other users.¹

The AICPA's Assurance Standards Executive Committee seeks to (1) identify and prioritize emerging trends and market needs for assurance in areas not covered by other authoritative standards, and (2) develop related assurance methodology guidance and tools as needed. As such the Committee is involved with developing assurance services that are meant to assure the quality, relevance, and usefulness of information or its context for decision makers and other users.

As discussed in Chapter 1, assurance services go beyond attestation services. Figure 20.1 illustrates that while assurance services encompass audits of financial statements and all other attestation services, the concept also includes additional services. Assurance services may involve analyzing data or putting them in a form to facilitate decision making. For example, CPAs may collect information that is generally considered to be relevant to a particular decision and synthesize it for the user. CPAs may also provide assurance that the user has a complete set of information with which to make a decision. In an assurance engagement, a report may or may not be issued and, if one is issued, it could be in oral, symbolic, or any other appropriate form.

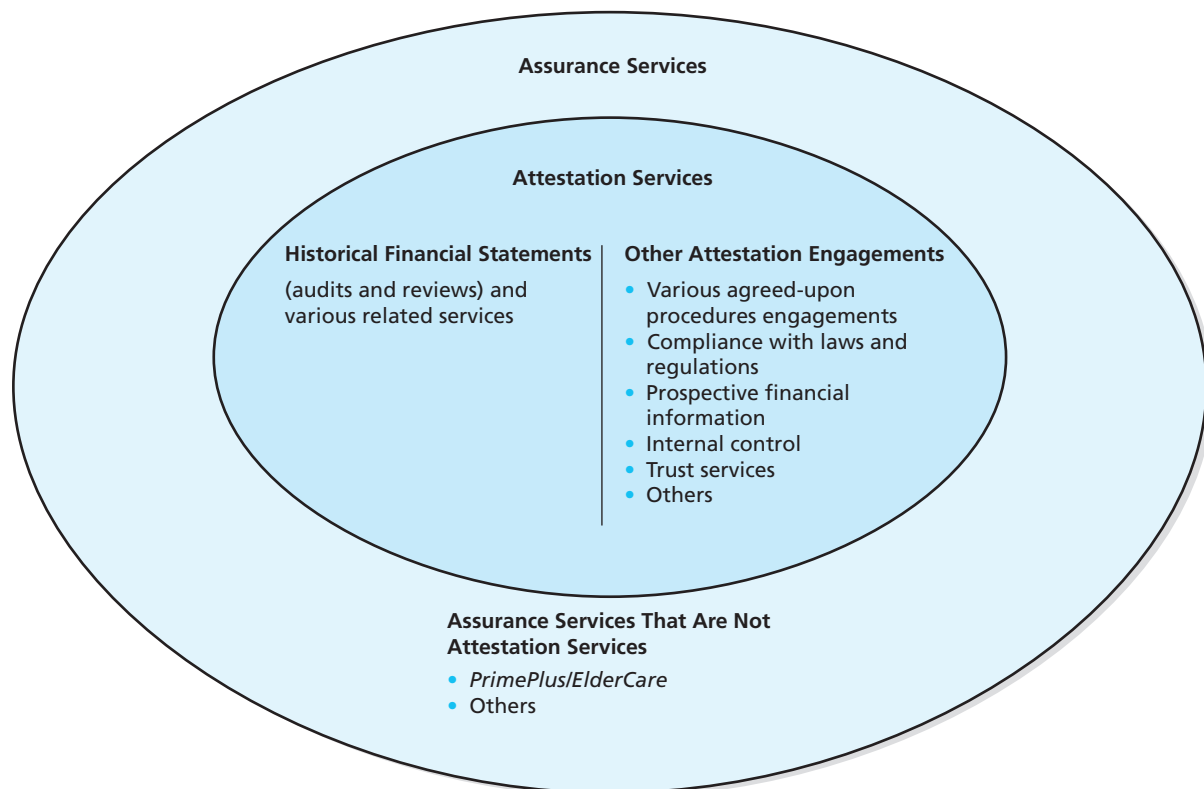
Attestation services are defined in the attestation standards (AT 101.01) as being engagements to issue an examination, review, or agreed-upon procedures report on the subject matter or an assertion about the subject matter that is the responsibility of another party.² In an attest engagement, the practitioner must evaluate the subject matter of the

¹ CPAs are not alone in the role of providing assurance. Although a wide variety of examples are possible, consider information available on a wide variety of products from Consumers Union (www.consumerreports.org), automobile reliability provided by organizations such as Edmunds, Inc. (e.g., www.edmunds.com), and restaurant quality from Zagat Survey (www.zagat.com). Also, because of the wide variety of assurance services provided that are discussed in this chapter, we use either *CPA* or *practitioner* rather than *auditor* throughout this chapter.

² The AICPA Code of Professional Conduct (ET 92.01) defines attestation services more generally as "engagements that require independence as defined in the AICPA *Professional Standards*."

	Illustrative Case	Types of Assurance Services
In a survey of 21 large- and medium-sized CPA firms, the Special Committee on Assurance Services identified over 275 types of assurance services. A few examples will provide an	A wide variety of assurance services are currently being performed by accounting firms.	identification of the breadth of the subject matter of these engagements: (a) customer satisfaction, (b) investment performance, (c) software functionality, (d) effectiveness of risk management, (e) clinical results of in-vitro fertilization, and (f) the distance that golf balls travel.

FIGURE 20.1 The Relationship between Assurance Services and Attestation Services



engagement against **suitable criteria**.³ Figure 20.2 summarizes selected characteristics of the various types of assurance engagements.

The Demand for Assurance Services

The demand for new types of assurance services developed as a natural extension of the audit function. Management realized that contracting costs could be reduced in many situations by providing investors, creditors, customers, and others transacting with the company access to information that is *certified* as to its reliability. As with an audit, these new assurance services reduce information risk for the outside parties and thus enable the company to contract at more favorable terms.

Much of the demand for other assurance services arises from developments in information technology, which have significantly changed the expectations of information

³ Recall that financial statements are prepared following an appropriate *financial reporting framework*. "Suitable criteria" is the generalization of that term to include information other than financial statements.

FIGURE 20.2 Selected Characteristics of Assurance Services

	Assurance Services		
	Assurance Services That Are Attestation Services		Other Assurance Services
	Historical Financial Statement–Related Information	Other Attestation Engagements	
Primary Source of Standards	Auditing standards Review standards (SSARS)	Attestation standards	General performance standards of AICPA <i>Code of Professional Conduct</i> (Rule 201)
Nature	Providing assurance on the reliability of historical financial statement information	Providing assurance on the reliability of subject matter, or an assertion about subject matter, that is the responsibility of another party (other than historical financial information)	Independent professional services that assure the quality, relevance, and usefulness of information or its context
Primary Forms of Engagements	Audits Reviews Agreed-upon procedures	Examinations Reviews Agreed-upon procedures	No specific forms have been developed; intended to be flexible
Form of Report	Written	Written	Any reasonable form of communication
Type of Conclusion	Reliability of information	Reliability of information	May be reliability of information, but may address broader concept such as relevance to a decision
Is Independence Required?	Yes	Yes	Yes

users. The fact that users can now instantaneously access a broad range of online information customized to their needs certainly has current and expected future implications for CPAs. Decision makers demand timely assurance about a wide range of financial and nonfinancial information. In addition, CPAs are using their expertise to place information in formats that improve decision making.

To date, a number of assurance services have been developed. Many of these new services are performed currently in accordance with the *Statements on Standards for Attestation Services*; an example, discussed later in this chapter, is Trust Services. Other products are being developed involving services that, at least portions of which, are not encompassed by those statements, including **PrimePlus/ElderCare** and XBRL.

Attestation Standards

LO 20-2

Explain the applicability of the attestation standards.

Attestation standards, presented in *Codification of the Statements on Standards for Attestation Engagements*, apply to engagements in which practitioners are engaged to issue or do issue an examination, a review, or an agreed-upon procedures report on subject matter, or an assertion about subject matter, that is the responsibility of another party. It is important to distinguish between the subject matter and the assertion about the subject matter. The **subject matter** of an **attestation engagement** may take many forms, including:

- Historical or prospective performance or condition (e.g., historical prospective financial information, performance measurements, and backlog data).
- Physical characteristics (e.g., narrative descriptions, square footage of facilities).

- Historical events (e.g., price of a market basket of goods on a certain date).
- Analyses (e.g., break-even analyses).
- Systems or processes (e.g., internal control).
- Behavior (e.g., corporate governance, compliance with laws and regulations, and human resource practices).

Generally, practitioners may attest to this subject matter at a point in time or for a period of time.

An **assertion** is a declaration about whether the subject matter is presented in accordance with certain criteria. To perform an attestation engagement, the practitioners generally must obtain an appropriate assertion from the party responsible for the subject matter. For example, in an engagement on a company's internal control over financial reporting, management (the responsible party) might assert that the company has maintained effective internal control.

While the practitioners generally must obtain an appropriate assertion about the subject matter, they ordinarily may report on either the *subject matter itself*, or on an *assertion about the subject matter*. Using investment returns as an example, when reporting on the subject matter, the practitioner's opinion would include assurance directly on the related schedule. Alternatively, when reporting on the assertion, the practitioner's opinion would provide assurance on whether that assertion is properly stated. The following exhibit presents the two methods of reporting.⁴

Reporting on Subject Matter	Reporting on Assertion
In our opinion, the schedule presents fairly in all material respects the investment returns of XYZ Company for the year ended December 31, 20XX, based on the criteria set forth in Note 1.	In our opinion, XYZ Company's assertion that the schedule presents the investment returns of XYZ Company for the year ended December 31, 20XX, based on the criteria set forth in Note 1, is fairly stated, in all material respects.

If the practitioners are reporting on an assertion about the subject matter, the assertion is presented with the subject matter or in the practitioners' report. If the practitioners are reporting *directly* on the subject matter, the assertion normally is included only in a representation letter that the practitioners obtain from the responsible party.

There is an exception to the option of reporting directly upon the subject matter *or* on management's assertion. When the examination reveals material departures from the suitable criteria, to most effectively communicate with the reader of the report, the practitioner should report directly upon the subject matter, and not on the assertion.

The Criteria

Criteria are standards or benchmarks that are used to evaluate the subject matter of the engagement. Criteria are important in reporting the practitioners' conclusion to the users because they convey the basis on which the conclusion was formed. Without this frame of reference, the practitioners' report is subject to misinterpretation. For example, generally accepted accounting principles are ordinarily used as the frame of reference—the criteria—to evaluate financial statements.

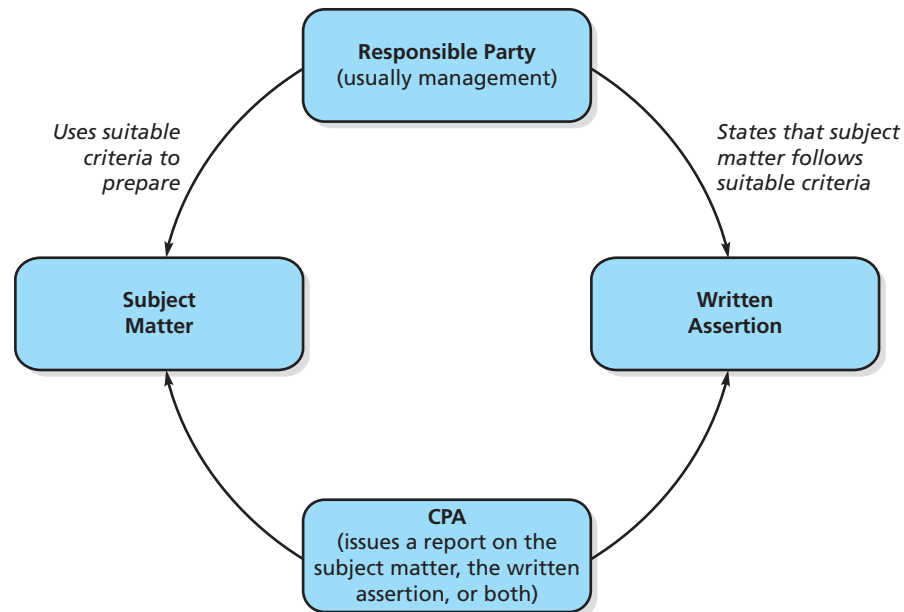
In most areas, however, the criteria are not as well established as are generally accepted accounting principles. Accordingly, a practitioner must evaluate the criteria being followed. As indicated in the third general standard, the criteria used in an attestation engagement must be *suitable* and *available* to the users.

Suitable Criteria

Suitable criteria are those that are *objective* and permit reasonably *consistent measurements*. In addition, the criteria must be sufficiently *complete* such that no relevant

⁴ These options are only available for reporting on a nonpublic (nonissuer) client. As indicated in Chapter 18, public company internal control reports are on the subject matter.

FIGURE 20.3
Illustration of
Relationships among
Terms Used in
Attestation Engagements



factors are omitted that would affect a conclusion about the subject matter. Finally, the criteria must measure some characteristic of the subject matter that is *relevant* to a user's decision.

Criteria are ordinarily suitable if they are developed by regulatory agencies or other bodies composed of experts that use due process, including exposing the proposed criteria for public comment. For example, the Committee of Sponsoring Organizations (COSO), discussed in Chapter 7, is an organization that followed due process in the development of its control criteria pertaining to internal control. Figure 20.3 illustrates the relationships among the responsible party, suitable criteria, subject matter, the written assertion, and the CPA's report.

Criteria developed by management or industry groups without due process may be suitable, but the practitioner should carefully evaluate them in relation to the characteristics described in the previous two paragraphs. Criteria that are overly subjective should not be used in an attestation engagement. For example, an assertion that a particular software product is the *best on the market* is too subjective for an attestation engagement. There are no generally accepted criteria for what constitutes the *best* software product.

Some criteria for evaluating subject matter may be suitable only for those who established them (referred to as *specified parties*). As such, they are not suitable for *general use*. For example, criteria developed based on a lengthy, involved contract between two parties might result in a report whose use is restricted to the two parties. In such situations, the attestation report should be *restricted* to the use of the specified parties.

Available Criteria

In addition to meeting the requirement that they be *suitable*, the criteria also must be *available* to users. This requirement of availability has two parts in that, not only must the criteria be available, but they also must be understandable to users. The criteria may be made *available and understandable* to the users in a variety of ways. If the criteria were developed by a regulatory agency or an expert body using due process, it is likely that they are publicly available to users; it ordinarily is presumed that such criteria are understandable.

Alternatively, the criteria may be made available to the users in the presentation of the subject matter, in the assertion, or in the practitioners' report. Making the criteria available in one of these manners is particularly important when there is no "generally

accepted” way of evaluating the related subject matter. Take for example the subject matter of customer satisfaction. There are a number of possible measures of customer satisfaction, including customer opinion, rate of customer referral, rate of return customer sales, and increase in dollar amount of sales to existing customers. Particular criteria might employ one or more of these or other customer satisfaction measures. If the practitioner found the criteria being followed to be suitable, the presentation of the subject matter on customer satisfaction would most likely include the criteria describing the way in which customer satisfaction was defined and measured.

When criteria are available only to certain users, the practitioners’ report should be restricted to those *specified parties*. Here again a contract between two parties provides a good illustration. In the preceding section on suitable criteria, we suggested that the provisions of a contract may not be suitable for those who are not a party to the contract. Therefore, we find that the report on the provisions is generally restricted. These situations often have in common the fact that they have been developed by and agreed to by the parties to the engagement and are not generally understandable to, or usable for, those not involved.

Attestation Risk and Materiality

Attestation risk is the risk that the practitioners will unknowingly fail to appropriately modify their report on subject matter that is materially misstated. Like audit risk, attestation risk consists of three components—inherent risk, control risk, and detection risk. In this context, *inherent risk* is the risk that the subject matter is materially misstated before considering any internal control. *Control risk* is the risk that internal control will fail to prevent or detect a material misstatement of the subject matter, and *detection risk* is the risk that the practitioners’ procedures will fail to detect a material misstatement of the subject matter. In an attestation engagement, the practitioners assess inherent and control risks and design procedures to restrict detection risk to the appropriate level.

Determining materiality for an attestation engagement may be very difficult because the subject matter may not be financial in nature. In fact, the subject matter may not even be presented in quantitative terms. As an example, the practitioners may be attesting to material compliance with specific provisions of a regulation. To determine what is material for planning and reporting purposes, the practitioners must attempt to determine the likely needs of the intended users and consider the extent and nature of misstatements of the subject matter that would be significant to their decisions.

Materiality for the engagement may be considered in the context of quantitative or qualitative factors. If the subject matter is quantitative, materiality should generally be a relative rather than an absolute amount. That is, as the quantitative amounts of the presentation increase, the amount considered to be material should also increase. For qualitative subject matter, the practitioners must use professional judgment to consider what omission or misstatement would have a significant effect on the presentation of the subject matter.

The Character of the Engagement

LO 20-3

Describe the nature of attestation engagements, including examinations, reviews, and agreed-upon procedures engagements.

The practitioners should issue an attestation report that clearly describes the nature of the assurance being provided as an *examination*, a *review*, or the performance of *agreed-upon procedures*.

Examinations

An **examination** is designed to obtain reasonable assurance—the level of assurance a financial statement audit provides. In conducting an examination, the practitioners identify and assess risks of material misstatement as the basis for designing and performing further procedures. The nature of the subject matter determines the possible examination procedures, which may include performing inquiry, inspection, observation, confirmation, recalculation, reperformance and analytical procedures to obtain sufficient evidence to drive attestation risk to an appropriately low level.

FIGURE 20.4
Standard Unmodified
Examination Report
on Subject Matter

Title	Independent Accountants' Report
Introductory paragraph	We have examined the accompanying schedule of investment performance statistics of Terrill Investment Fund for the year ended December 31, 20X2. Terrill Investment Fund's management is responsible for the schedule of investment performance statistics. Our responsibility is to express an opinion on this schedule based on our examination.
Scope paragraph	Our examination was conducted in accordance with attestation standards established by the American Institute of Certified Public Accountants and, accordingly, included examining, on a test basis, evidence supporting the schedule and performing such other procedures as we considered necessary in the circumstances. We believe that our examination provides a reasonable basis for our opinion.
Opinion paragraph	In our opinion, the schedule of investment performance statistics referred to above presents, in all material respects, the performance of Terrill Investment Fund for the year ended December 31, 20X2, in conformity with the measurement and disclosure criteria set forth by the Association of Investment Management Research, Inc., as described in Note 1. <i>Wesley & Ward, LLP</i> January 22, 20X3

At the completion of the examination, the practitioners issue an appropriate report. Figure 20.4 illustrates an annotated standard unmodified examination report *directly on the subject matter*. This standard report, however, is not appropriate in all cases. The following table illustrates circumstances that result in modification of the standard unmodified report.

Situation	Report Modification
1. Criteria are agreed upon or only available to specified parties	A statement of limitations on the use of the report
2. Departure of subject matter from criteria	Qualified or adverse opinion, depending on materiality of the departure
3. Limitation on scope of engagement	Qualified opinion or disclaimer
4. When reporting on subject matter and a written assertion is not obtained from the responsible party	A statement of limitations on the use of the report

Reviews

A **review** engagement involves performing limited procedures, such as inquiries and analytical procedures. In performing a review, the practitioners endeavor to gather sufficient evidence to drive attestation risk to a *moderate level*. Accordingly, the resulting report provides only limited assurance that the information is fairly presented. **Limited assurance** is also referred to as **negative assurance** because the practitioners' report disclaims an opinion on the reviewed information but includes a statement such as, "We are not aware of any material modifications that should be made in order for the information to be in conformity with the criteria." An example of an annotated unmodified review report *directly on the subject matter* is presented in Figure 20.5. Of course, when an uncorrected material departure from the criteria is noted, the report must be modified to describe the departure. The following table lists circumstances that result in modification of the practitioners' review report.

FIGURE 20.5
Standard Unmodified
Review Report on
Subject Matter

Title	Independent Accountants' Report
Introductory paragraph	We have reviewed the accompanying schedule of investment performance statistics of Keller Investment Fund for the year ended December 31, 20X2. Keller Investment Fund's management is responsible for the schedule of investment performance statistics.
Nature of review and disclaimer paragraph	Our review was conducted in accordance with attestation standards established by the American Institute of Certified Public Accountants. A review is substantially less in scope than an examination, the objective of which is the expression of an opinion on the schedule. Accordingly, we do not express such an opinion.
Negative assurance paragraph	Based on our review, nothing came to our attention that caused us to believe that the accompanying schedule of investment performance statistics of Keller Investment Fund for the year ended December 31, 20X2, is not presented, in all material respects, in accordance with the measurement and disclosure criteria set forth by the Association of Investment Management Research, Inc., as described in Note 1. <i>George Little & Associates, LLP</i> January 15, 20X3

Situation	Report Modification
1. Criteria are agreed upon or only available to specified parties	A statement of limitations on the use of the report
2. Departure of subject matter from criteria	Modified report describing the departure
3. Limitation on scope of the engagement	Report cannot be issued
4. When reporting on subject matter and a written assertion is not obtained from the responsible party	A statement of limitations on the use of the report

Agreed-Upon Procedures

Practitioners may also be engaged to perform procedures that were agreed upon by specified parties of the report. **Agreed-upon procedures** reports include a list of procedures performed (or reference thereto) and the related findings. Because specified parties have agreed upon the nature of the procedures, the reports for such engagements are intended for those parties only. Consequently, reports on agreed-upon procedures are referred to as *restricted-use* reports, in contrast with *general-use* reports, such as those on examinations and reviews. As previously indicated, examination and review reports ordinarily may be used by all third parties. Only when the criteria have been agreed upon by the parties involved and such criteria are not generally understandable to those not involved with the information must an examination or review report be restricted.

Assurance Service Examples

Assurance on Internal Control over Financial Reporting

Chapters 7 and 18 presented information on auditors' reports on internal control over financial reporting. This is a primary assurance service, particularly as performed for public companies which are required to have their internal control audited as a part of the integrated audit required by the Sarbanes-Oxley Act of 2002 and implemented by the PCAOB. As we indicated in Chapter 18, nonpublic companies are also able to

engage their auditors in such a service. Also, the Federal Deposit Insurance Corporation Improvement Act of 1991, which applies to financial institutions with total assets of \$500 million or more, requires an internal control report similar to that described in detail in Chapter 18.

We will not repeat detailed coverage of internal control reporting in this chapter. Yet reporting on internal control provides a good example of an assurance service that differs broadly from reporting on financial statements because with internal control the subject matter of the engagement is a process rather than historical results.

Assurance on Prospective Financial Statements

LO 20-4

Describe the fundamental attributes of attestation services for prospective financial statements.

Securities analysts and loan officers give considerable attention to prospective financial statements. Although such statements may be presented in various forms, CPAs most frequently are involved *with financial forecasts and financial projections*. A **financial forecast** presents information about the entity's *expected* financial position, results of operations, and cash flows. On the other hand, a **financial projection** presents expected results, *given one or more hypothetical assumptions*. For example, a projection might present expected results assuming the company expanded its plant. While a forecast may be issued for general use, a projection's use should be restricted to the party with whom the company is negotiating, for example, a bank that is considering loaning funds to the company to expand the plant. Both forecasts and projections must include certain minimum *prospective financial statement* items, background information, and a list of the major assumptions and accounting policies.

Users of forecasts and projections may request assurance that this forward-looking information is properly presented and based upon reasonable assumptions. To provide such assurance, CPAs may be engaged to examine prospective statements, or they may be asked to perform certain agreed-upon procedures or perform a compilation, but the attestation standards *prohibit* the review of prospective financial statements. Criteria for evaluation of the fairness of a forecast or projection are presented in AT Section 301 and include a set of presentation guidelines.⁵

Examinations of Prospective Financial Statements

In an examination of prospective financial statements, the practitioners gather evidence relating to the client's procedures for preparation of the statements, evaluate the underlying assumptions, obtain a written representation letter from the client, and evaluate whether the statements are presented in conformity with AICPA guidelines. The report issued is ordinarily on the subject matter and states whether, in the practitioners' opinion, the statements are presented in conformity with AICPA guidelines and whether the underlying assumptions provide a reasonable basis for the statements. In no circumstance is the practitioners' report to vouch for the achievability of the forecast or projection.

The standard report should be modified in the following situations:

Situation	Report Modification
1. Material departure from presentation criteria	Qualified or adverse opinion (if underlying assumptions are omitted, an adverse opinion should be issued)
2. One or more significant assumptions do not provide a reasonable basis for the prospective financial statements	Adverse opinion
3. Limitation on scope of engagement	Disclaimer of opinion

⁵ Further details of required disclosures are presented in the AICPA's "Guide for Prospective Financial Information" (New York, 2009).

The report on a financial projection is similar to the one illustrated for a forecast, but a paragraph is added prior to the opinion paragraph indicating that the use of the report should be restricted to the specified party. In addition, the opinion paragraph explicitly states the hypothetical assumptions.

Agreed-Upon Procedures on Prospective Financial Statements

Specific users may request the practitioners to perform certain agreed-upon procedures on prospective financial statements. In such circumstances, the practitioners may perform the procedures and provide a summary of findings. As is the case with all engagements involving agreed-upon procedures, the report should indicate that its use is restricted to the specified parties.

Assurance on Compliance

The attestation standards provide guidance for two types of compliance attestation engagements:

1. Attesting to an entity's compliance with specified requirements of laws, regulations, rules, contracts, or grants.
2. Attesting to the effectiveness of an entity's internal control over compliance with specified requirements.

Practitioners are permitted to perform an examination or agreed-upon procedures on such matters, but they are *prohibited* from performing reviews of compliance or internal control over compliance. These types of engagements and reports are described in detail in Chapter 21.

Assurance on Management's Discussion and Analysis

LO 20-5

Describe the fundamental attributes of attestation services for management discussion and analysis.

Management of a public company is required to provide a narrative explanation of financial results as reported in the financial statements filed with the SEC. This narrative explanation, referred to as **Management's Discussion and Analysis (MD&A)**, is a required part of Form 10-K (for annual financial statements) and Form 10-Q (for interim financial statements) filed with the SEC. Practitioners may examine or review MD&A under the guidance of the attestation standards.

To accept an engagement to examine MD&A, the practitioners must have audited the most recent financial statement period to which the MD&A applies, and the other financial statement periods also must have been audited by them or other auditors. The practitioners' objective in such an engagement is to provide assurance on whether (1) the presentation includes, in all material respects, the required elements of the rules and regulations adopted by the SEC; (2) the historical financial amounts included in the presentation have been accurately derived, in all material respects, from the entity's financial statements; and (3) the underlying information, determinations, estimates, and assumptions of the entity provide a reasonable basis for the disclosures contained in the presentation. Practitioners also may be engaged to perform a review of MD&A for an annual or interim period. However, if a review is performed and the report is not intended to be filed with the SEC, it should be restricted as to use. At this point, few reports on MD&A have been issued.

Trust Services

LO 20-6

Describe the nature of Trust Services.

Information technology has a profound effect on the way in which companies do business. Increasingly, companies have developed technology-enabled systems that not only maintain historical information but also produce products and services, directly interact with customers and suppliers, and run portions of the business. As a result, system reliability is of major concern not only to management, but also to stockholders, creditors, business partners, and other stakeholders in the company. The public accounting profession has developed a set of **Trust Services** that are defined as a set of professional attestation and advisory services based on a core set of principles and criteria that addresses the risks and opportunities of IT-enabled systems and privacy programs.

Trust Services are intended to help entities differentiate themselves by demonstrating that they are attuned to the risks posed by their environment and that they are equipped with controls that address those risks. There are potentially a wide range of beneficiaries of Trust Services assurance reports, including consumers, business partners, bankers, creditors, regulators, and outsourcers. Trust Services, jointly developed by the AICPA and the Canadian Institute of Chartered Accountants (CICA), are services in which a practitioner examines a system's controls and attests to the system's reliability. This is a part of a broader future vision of the accounting profession to supply real-time assurance on information databases and systems and is viewed as a natural extension of the CPA's audit and information technology consulting functions.

In a Trust Services engagement, management prepares and communicates a description of the aspects of the system that are to be encompassed by the practitioner's engagement. Management's description can be included on the company's website, attached to the practitioners' report, or communicated to users in some other manner. It must clearly articulate the boundaries of the system to allow individuals to understand both the scope of management's assertions related to it and the practitioners' report.

Performing a Trust Services Engagement

In performing a Trust Services engagement, the practitioner (1) performs procedures to determine that management's description of the system is fairly stated, and (2) obtains evidence that the controls over the system are designed and operating effectively to meet the Trust Services Principles and Criteria—the suitable criteria required for an attest engagement. The evidence obtained should bear on whether the system meets one or more of the following principles over a particular reporting period:

1. *Security*. The system is protected against unauthorized access (both physical and logical).
2. *Availability*. The system is available for operation and use as committed or agreed upon.
3. *Processing integrity*. System processing is complete, accurate, timely, and authorized.
4. *Confidentiality*. Information designated as confidential is protected as committed or agreed upon.
5. *Privacy*. Personal information is collected, used, retained, disclosed, and destroyed in conformity with the commitments in the entity's privacy notice and with criteria set forth in generally accepted privacy principles issued by the AICPA and CICA.

Each of the principles has four criteria associated with it that fit into the following four broad areas:

1. *Policies*. The entity has defined and documented its policies relevant to the particular principle.
2. *Communications*. The entity has communicated its defined policies to responsible parties and authorized users of the system.
3. *Procedures*. The entity placed in operation procedures to achieve the objectives in accordance with its defined policies.
4. *Monitoring*. The entity monitors the system and takes action to maintain compliance with its defined policies.

Types of Trust Services Engagements

At present, CPAs offer two types of Trust Services, both providing either agreed-upon procedures or examination-level assurance. **WebTrust** provides assurance on electronic commerce systems, while **SysTrust** provides assurance on any system. To this point, **SysTrust** has gained wider market acceptance.

Reporting

The reports issued for *SysTrust* and *WebTrust* are similar. The box on the next page provides the body of a *SysTrust* report on the first four *SysTrust* principles for Capital Confirmation, Inc., the company referred to in Chapter 10, which is a leader in the electronic confirmation process. Both *WebTrust* and *SysTrust* are designed to incorporate a seal

management process by which a seal (logo) may be included on a client's website as an electronic representation of the practitioners' unqualified *WebTrust* report. If the client wishes to continue to use the seal (logo), the engagement must be updated at least annually. Also, the initial reporting period must include at least two months.

We have examined the accompanying management assertion that during the period June 1, 2009, through November 30, 2011, Capital Confirmation, Inc. (Capital Confirmation), maintained effective controls over the Confirmation.com™ system based on the AICPA and CICA trust services availability, security, processing integrity, and confidentiality criteria to provide reasonable assurance that:

- The system was available for operation and use, as committed or agreed;
- The system was protected against unauthorized access (both physical and logical);
- The system processing was complete, accurate, timely, and authorized; and
- Information designated as confidential was protected by the system as committed or agreed;

based on the AICPA and CICA trust services security, availability, processing integrity, and confidentiality criteria.

Capital Confirmation's management is responsible for this assertion. Our responsibility is to express an opinion based on our examination. Management's description of the aspects of the Confirmation.com system covered by its assertion is attached. We did not examine this description, and accordingly, we do not express an opinion on it.

Our examination was conducted in accordance with attestation standards established by the American Institute of Certified Public Accountants and, accordingly, included (1) obtaining an understanding of Capital Confirmation's relevant controls over the availability, security, processing integrity, confidentiality, and privacy of the Confirmation.com system; (2) testing and evaluating the operating effectiveness of the controls; and (3) performing such other procedures as we considered necessary in the circumstances. We believe that our examination provides a reasonable basis for our opinion.

Because of the nature and inherent limitations of controls, Capital Confirmation's ability to meet the aforementioned criteria may be affected. For example, controls may not prevent or detect and correct error or fraud, unauthorized access to systems and information, or failure to comply with internal and external policies or requirements. Also, the projection of any conclusions based on our findings to future periods is subject to the risk that changes may alter the validity of such conclusions.

In our opinion, management's assertion referred to above is fairly stated, in all material respects, based on the AICPA and CICA trust services security, availability, processing integrity, and confidentiality criteria.

Service Organization Control (SOC) Reports

Service organizations provide processing services to customers who decide to outsource their processing of data. Examples of services that are typically outsourced include **cloud computing** services, payroll processing services, information security services, and information system services. In Chapter 7 we discussed service organizations as they relate to audits of financial statements. Here we recap three services that result in the following types of CPA reports on service organization controls (SOC):

- SOC 1: Restricted-use reports on controls at a service organization relevant to a user entity's internal control over financial reporting (presented earlier in Chapter 7).
- SOC 2: Restricted-use reports on controls at a service organization related to security, availability, processing integrity, confidentiality, and/or privacy.
- SOC 3: General-use SysTrust reports related to security, availability, processing integrity, confidentiality, and/or privacy.

All three of the above are based on auditors having performed examinations of the related information.

SOC 1 Reports

SOC 1 reports are issued under AICPA AT 801 (PCAOB 324). Chapter 7 of this text includes a discussion of service auditor reports when an audit client has outsourced a portion of its processing to a service organization. As an illustration, that chapter presented

an example of an employee benefit plan that used a bank trust department to invest and service the plan's assets. Service organizations engage their auditors to study their internal control over financial reporting relating to their processing services and to issue a service auditor's report on that internal control. These reports may either be on

- Management's description and design of its controls (Type 1 reports), or
- Management's description and design of its controls *and control operating effectiveness* (Type 2 reports).

Auditors of companies that employ the service organization (referred to as "user auditors") generally use the service auditors' report as a portion of their consideration of the user's internal control (AICPA AU-C 402; PCAOB 324). SOC 1 reports are restricted-use reports ordinarily meant for communication between one auditor and another, or the service auditor and the user organization.

SOC 2 Reports

SOC 2 reports are performed under AT section 101, *Attest Engagements*, and relate to security, availability, processing integrity, confidentiality, and/or privacy. These reports are similar to SysTrust in coverage in that a CPA issues a report on controls at the service organization that relates to one or more of these Trust Services principles of security. SOC 2 reports are designed to provide:

- Organizations that outsource tasks and functions a mechanism for improving governance and oversight of service providers.
- Service organizations the ability to communicate the suitability of the design and operating effectiveness of their controls.

In an SOC 2 engagement management prepares a detailed description of the service organization's system, including controls designed to achieve the criteria for one or more of the Trust Services Principles, and the CPA reports on the fairness of the description. Service organizations can distribute the report to their customers and other intended recipients, such as regulators and business partners. As is the case with SOC 1 reports, the CPAs may be engaged to issue either a Type 1 or Type 2 report.

SOC 3 Reports

SOC 3 reports are in essence Trust Services reports. These reports provide users with an assertion by management that it maintained effective controls to meet the Trust Services criteria, a short description of its system, and a CPA's report on either management's assertion or on the effectiveness of controls in meeting the Trust Services criteria as described earlier in this chapter. Figure 20.6 compares the various types of service organization reports and related information.

PrimePlus/ ElderCare Services

LO 20-7

Describe the nature of *PrimePlus/ElderCare* services.

The population of the United States is aging, with the greatest increase in adults over 65 years of age expected to occur between now and 2030. In response to these demographics, the AICPA and the Canadian Institute of Chartered Accountants have developed *PrimePlus/ElderCare* services. These services focus on the specific needs and goals of older adults. In providing these services, you draw upon your strengths and competencies in a variety of areas, including accounting, cash flow planning and budgeting, pre- and postretirement planning, insurance reviews, estate planning, and tax planning. The intent is to help older Americans maintain for as long as possible their lifestyle and financial independence. The profession sees three primary markets for these services:

- Older clients of the CPA who have the financial resources to avail themselves of the services.
- The children of older adults who have the resources and interest to see that their loved ones are cared for.
- Other professionals who deal with older adults (e.g., lawyers and health care professionals).

FIGURE 20.6 Comparison of Types of Service Organization Control (SOC) Reporting

	SOC 1	SOC 2	SOC 3
Professional Standards	AT 801 (SSAE No. 16) AICPA Guide, <i>Applying SSAE No. 16, Reporting on Controls at a Service Organization</i>	• AT 101 • AICPA Guide, <i>Reporting on Controls at a Service Organization Relevant to Security, Availability, Processing Integrity, Confidentiality, or Privacy</i>	• AT 101 • AICPA Technical Practice Aid, <i>Trust Services Principles, Criteria and Illustrations</i>
Primary Purpose	Report on service organization controls over financial reporting, particularly on those controls likely to be relevant to user entities' financial statements.	Report on service organization controls related to compliance with the Trust Services Principles and Criteria (controls over security, availability, processing integrity, confidentiality, and/or privacy).	
Assertion Provided by Service Organization Management	A detailed assertion on details of the system.		A more general assertion on the organization having met one or more of the AICPA Trust Services Criteria.
Report*	Detailed Type 1 or Type 2 report on controls tested.	Detailed Type 1 or Type 2 report on service organization's compliance with one or more Trust Services Principles.	A less detailed report on whether the service organization maintained effective controls based on the Trust Services Criteria.
Use of Report	Restricted-use report primarily for user auditors (auditors auditing the financial statements of companies that use the service auditor).	Restricted-use report primarily for service organization and user stakeholders such as customers, regulators, business partners, suppliers, and directors.	General-use report (for use by anyone).

*Type 1 reports address whether the description of the controls is fairly presented and whether the controls described are suitably designed. A Type 2 report includes the information in a Type 1 report and an opinion on whether the controls were operating effectively.

The services involved are of two types—financial and nonfinancial. Financial services include goal-setting, funding analysis, cost management, and needs assessment. Non-financial services may involve interpersonal and relationship management, as well as management of the interaction between service providers and the client. Figure 20.7 provides more detailed examples of each of these services.

Future Assurance Services

LO 20-8

List several developing assurance services.

The AICPA, through its various committees, continues to consider and develop a number of other services to be provided by CPAs, including XBRL, health care performance measurement, and continuous auditing.

XBRL

XBRL, eXtensible Business Reporting Language, is an international information format designed specifically for business information. It assigns all individual disclosure items within business reports unique electronically readable tags that are mapped to taxonomies. XBRL offers major benefits in the preparation, analysis, and communication of business information through its cost-effectiveness and improved reliability as compared to other existing systems.

FIGURE 20.7
Examples of *PrimePlus/*
ElderCare Services

Financial Services	Nonfinancial Services
• Planning for fiduciary needs • Evaluating financing options • Receiving, depositing, and accounting for client receipts • Ensuring that expected revenues are received • Submitting claims to insurance companies • Protecting the elderly from predators • Estate planning • Income tax planning and preparation • Gift tax return preparation • Evaluating investments and trust activity • Portfolio management • Risk management and insurance planning	• Lifestyle planning • Lifestyle management services • Coordinating support and health care services • Functioning as the “quarterback” or as a member of the <i>PrimePlus/ElderCare</i> team—which consists of health care, legal, and other professionals • Helping family members monitor the elder’s care • Communicating family expectations to care providers • Establishing, in concert with the family, appropriate standards of care • Establishing performance monitoring systems

The AICPA’s XBRL Assurance Task Force is in the process of developing guidance that will assist CPAs in public practice who are requested to provide assurance on XBRL-related documents. The task force is currently focusing on:

- Developing practice guidance that will assist CPAs in applying existing standards to information reported in XBRL format.
- Recommending, where deemed necessary and appropriate, to the appropriate standard setting bodies changes to existing standards and/or the development of new standards.
- Collaborating with key stakeholders, including the SEC, PCAOB, various AICPA groups, and others.

Health Care Performance Measurement

Health care recipients and their employers are increasingly concerned about the quality and availability of health care services. This service provides assurance about the effectiveness of health care services provided by health maintenance organizations, hospitals, doctors, and other providers.

Continuous Auditing

A demand exists for assurance beyond that provided on quarterly and annual financial statements. As indicated earlier in this chapter, **continuous auditing** provides assurance using a series of reports provided simultaneously or shortly after the related information is released. The area of continuous auditing is in its infancy but is expected to grow dramatically as companies provide more and more up-to-date financial information on their websites.

Chapter Summary

This chapter described assurance services, focusing on those that are governed by *Statements on Standards for Attestation Engagements*. To summarize:

1. Assurance services are defined as professional services that improve the quality of information, or its context, for decision makers. Assurance services go beyond attestation services in that they may involve analyzing data or putting data in a form to facilitate decision making, or they may address relevance to a decision.
2. The vast majority of currently provided assurance services are attestation services that are performed in accordance with *Statements on Standards for Attestation Engagements*. The attestation standards apply to a variety of types of information (e.g., prospective financial statements, compliance with laws and regulations, and management’s

discussion and analysis). They do not apply to professional services specifically covered by the following other standards: *Statements on Auditing Standards*, *Statements on Standards for Accounting and Review Services*, and *Statements on Standards for Consulting Services*. They also do not cover various types of tax services.

3. Attestation engagements include examinations, reviews, and agreed-upon procedures engagements. Examinations and reviews involve providing assurance about the correspondence of subject matter with suitable criteria. An agreed-upon procedures engagement involves performing procedures and issuing a report on the findings.
4. CPAs may perform examinations, compilations, or agreed-upon procedures on prospective financial statements. Reviews of prospective financial statements are prohibited. Prospective financial statements include forecasts that reflect expected financial results and projections that reflect expected financial results given one or more hypothetical assumptions.
5. Practitioners may examine or review Management's Discussion and Analysis (MD&A). MD&A consists of a narrative explanation of financial results that must be included in annual and quarterly filings with the SEC. The practitioners' objective in an examination is to provide assurance on whether (a) the presentation includes all required elements, (b) any historical amounts have been accurately derived from the entity's financial statements, and (c) the underlying information, determinations, estimates, and assumptions provide a reasonable basis for the disclosures included.
6. Trust Services provide assurance on one or more of the following Trust Principles: (a) security, (b) availability, (c) processing integrity, (d) confidentiality, and (e) privacy. Currently, two services have been developed—*WebTrust*, which provides assurance on electronic commerce systems, and *SysTrust*, which provides assurance on other systems.
7. CPAs also may report on service organization controls. Three forms of reporting have been developed: one based on a service organization's internal control over financial reporting and two based on the Trust Services Principles.
8. *PrimePlus/ElderCare* services focus on the specific needs and goals of older adults. In providing these services, CPAs draw upon their strengths and competencies in a variety of areas, including accounting, cash flow planning and budgeting, pre- and postretirement planning, insurance reviews, estate planning, and tax planning.
9. The AICPA's XBRL Assurance Task Force is in the process of developing guidance that will assist CPAs in public practice who are requested to provide assurance on XBRL-related documents. Other assurance services being developed by the profession include health care performance measurement and continuous auditing.

Key Terms Introduced or Emphasized in Chapter 20

Agreed-upon procedures (773) An attestation engagement in which the CPAs agree to perform specific procedures for a specified party or parties and issue a report that expresses the CPAs' findings. The report is restricted to use by the specified party or parties.

Assertion (769) An assertion is a declaration about whether subject matter is presented in accordance with certain criteria.

Assurance services (766) Professional services that improve the quality of information, or its context, for decision makers. Many assurance services involve some form of attestation.

Attestation engagement (768) Providing assurance about whether some subject matter, or an assertion about the subject matter, is in accordance with suitable criteria.

Attestation risk (771) The risk that the practitioners will issue an unmodified report on subject matter that is materially misstated.

Cloud computing (777) A model for enabling on-demand user network access to a shared pool of computing resources (e.g., networks, servers, storage, applications, or services), often through an Internet browser. As an illustration, consider a model in which databases and the associated data are maintained by an independent provider and accessed by corporate users.

Continuous auditing (780) To provide assurance using a series of reports provided simultaneously or shortly after the related information is released.

Examination (771) An attestation engagement designed to provide the highest level of assurance that CPAs provide on subject matter or an assertion about the subject matter. An examination of financial statements is referred to as an audit.

Financial forecast (774) Prospective financial statements that present an entity's expected financial position, results of operations, and cash flows for one or more future periods.

Financial projection (774) Prospective financial statements that present expected results, given one or more hypothetical assumptions.

Limited assurance (negative assurance) (772) The level of assurance provided by CPAs who have performed a review of subject matter. Provides substantially less assurance than the reasonable assurance provided by an examination.

Management's Discussion and Analysis (MD&A) (775) Management's discussion of the company's operating results, liquidity, and financial position that is required in the regular form filings with the SEC. CPAs may examine or review this information. However, if the information is reviewed, the report must be restricted as to its use.

Negative assurance (772) See *limited assurance*.

PrimePlus/ElderCare (768) Services to help older individuals maintain, for as long as possible, their lifestyle and financial independence.

Review (772) An engagement designed to provide only a limited (moderate) degree of assurance about the conformance of subject matter, or an assertion about subject matter, with suitable criteria.

Subject matter (768) The underlying topic of the engagement. For example, subject matter may be prospective financial information or internal control.

Suitable criteria (767) Criteria that are objective and permit reasonably consistent measurement.

SysTrust (776) A Trust Service developed by the AICPA and CICA to provide assurance about the reliability of systems other than electronic commerce systems.

Trust Services (775) Engagements that provide assurance on systems. Trust Services provide assurance on one or more of the following Trust Principles: (a) security, (b) availability, (c) processing integrity, (d) online privacy, and (e) confidentiality. Currently, two services have been developed. *WebTrust* provides assurance on electronic commerce systems, and *SysTrust* provides assurance on other systems.

WebTrust (776) A Trust Service developed by the AICPA and CICA to provide assurance on electronic commerce systems.

XBRL (eXtensible Business Reporting Language) (779) An international information format designed specifically for business information. It assigns all individual disclosure items within business reports unique electronically readable tags that are mapped to taxonomies. The AICPA is in the process of developing guidance that will assist CPAs in public practice who are requested to provide assurance on XBRL-related documents.

Review Questions

- 20-1. Explain the relationship between assurance services and attestation services.
- 20-2. Comment on the correctness of the following statement: Since all attest services are assurance services, all assurance services are also attest services.
- 20-3. Describe the forces that have fueled the demand for assurance services.
- 20-4. Is a written report from the accountant involved for all attestation and other assurance services? Explain.
- 20-5. List and describe the three types of attestation engagements.
- 20-6. Distinguish between forms of attestation engagements that result in reports that are designed for "general use" and those that result in reports that are designed for "restricted use."
- 20-7. Distinguish between an attestation engagement in which the practitioners report directly on the subject matter and one in which the practitioners report on an assertion about the subject matter.
- 20-8. What are "suitable criteria" and how do they relate to an attestation engagement?
- 20-9. Explain what is meant by *attestation risk*. What are its components?
- 20-10. Comment on the accuracy of the following: A client's uncorrected material departure from the suitable criteria identified during an examination conducted under the attest standards is treated as a departure from GAAP in a financial statement audit—either a qualified or adverse opinion is appropriate.
- 20-11. What is XBRL? How do assurance services relate to it?
- 20-12. "A company would normally include a financial projection in its annual report rather than a financial forecast." Comment on the validity of this statement.
- 20-13. Describe the major elements of a report on the examination of a financial forecast.

- 20–14. Describe the two types of compliance services that may be performed under AT section 601.
- 20–15. Identify the circumstances under which CPAs may examine Management's Discussion and Analysis.
- 20–16. Describe the objectives of the practitioners' examination of Management's Discussion and Analysis.
- 20–17. List the principles that may be included in the criteria for a Trust Services engagement.
- 20–18. Contrast the types of systems on which assurance is provided in a *WebTrust* engagement as compared to a *SysTrust* engagement.
- 20–19. Discuss CPAs' competition for *WebTrust* in the market for consumer-to-business electronic commerce.
- 20–20. Describe the primary purpose and intended users of each of the three types of service auditor reports presented in the Professional Standards.
- 20–21. The attestation standards provide guidance on agreed-upon procedures, review, and examination engagements. Which of these types of engagements are available for *WebTrust* and *SysTrust*?
- 20–22. What types of *PrimePlus/ElderCare* services do CPAs typically perform?
- 20–23. Identify three types of assurance services that are currently under development by the AICPA.

Questions Requiring Analysis

- LO 20-1** 20–24. Other types of assurance services provided by CPAs have developed as a natural extension of the audit function.
- Required:*
- a. Explain what is meant by the term *assurance services*.
 - b. Describe the forces that have caused a demand for other types of assurance services.
 - c. Describe the subset of assurance services governed by the *Statements of Standards for Attestation Engagements*.
- LO 20-3** 20–25. The attestation standards provide guidance for three basic types of engagements.
- Required:*
- a. Describe these three types of engagements.
 - b. Describe the types of procedures performed for each of these three types of engagements.
 - c. Discuss the degree of assurance provided by each type of engagement.
 - d. Identify when each of the three types of engagements results in reports that are appropriate for *general use*.
- LO 20-4** 20–26. The management of Williams Co. is considering issuing corporate debentures. To enhance the marketability of the bond issue, management has decided to include a financial forecast in the prospectus. Management has requested that your CPA firm examine the financial forecast to add credibility to the prospective information.
- Required:*
- a. Explain what is involved in an examination of a financial forecast.
 - b. Discuss the elements of a report on the examination of a financial forecast. (Do not write a report.)
- LO 20-6** 20–27. The accounting profession has developed *Trust Services* to help entities differentiate themselves by demonstrating that they are attuned to the risks posed by their environment and that they are equipped with controls that address those risks. Present the principles on which a *Trust Services* engagement may be based.
- LO 20-2** 20–28. The third general attestation standard indicates that the subject matter of the engagement must be capable of reasonably consistent evaluation against criteria that are suitable and available to the user.
- Required:*
- a. Explain why criteria are needed for an attestation engagement.
 - b. Describe what makes a particular set of criteria *suitable* for an attestation engagement.
 - c. Explain how criteria are made *available* to users of the information.

Objective Questions

All applicable questions are available with McGraw-Hill's **Connect® Accounting**.



- LO 20-2** 20–29. **Multiple Choice Questions**
- Select the best answer for each of the following and explain fully the reason for your selection.
- a. A report on an attestation engagement should:
 - (1) State the nature of the client's control system.
 - (2) State the practitioner's conclusion about the subject matter or assertion.
 - (3) Include a reasonable limitations section pertaining to data inputs.
 - (4) Refer to the auditor's assertion concerning the subject matter.

LO 20-4

- b. When an accountant examines a financial forecast that fails to disclose several significant assumptions used to prepare the forecast, the accountant should describe the assumptions in the accountant's report and issue a(n):
- (1) Qualified opinion.
 - (2) Unqualified opinion with a separate explanatory paragraph.
 - (3) Disclaimer of opinion.
 - (4) Adverse opinion.

LO 20-5

- c. Which of the following is *not* an objective of a CPA's examination of a client's MD&A?
- (1) The presentation includes, in all material respects, the required elements of the rules and regulations adopted by the Securities and Exchange Commission.
 - (2) The presentation is in conformity with rules and regulations adopted by the SEC.
 - (3) The historical amounts included in the presentation have been accurately derived, in all material respects, from the entity's financial statements.
 - (4) The underlying information, determinations, estimates, and assumptions provide a reasonable basis for the disclosures contained in the presentation.

LO 20-6

- d. A CPA's report relating to a *SysTrust* engagement is most likely to include:
- (1) An opinion on whether the system is electronically secure.
 - (2) An opinion on management's assertion that the system meets one or more of the *SysTrust* principles.
 - (3) Negative assurance on whether the system is secure.
 - (4) No opinion or other assurance, but a summary of findings relating to the system.

LO 20-5

- e. When performing an examination, if a CPA finds one or more significant assumptions are not reasonable for a forecast, the most appropriate report is:
- (1) Adverse.
 - (2) Disclaimer.
 - (3) Qualified.
 - (4) Unqualified with emphasis-of-matter paragraph.

LO 20-8

- f. The accounting profession is currently developing assurance services related to which of the following international information formats?
- (1) C++.
 - (2) Webmat.
 - (3) Object language.
 - (4) XBRL.

LO 20-7

- g. CPA services performed under *PrimePlus/ElderCare* services may be:

	Financial	Nonfinancial
(1)	Yes	Yes
(2)	Yes	No
(3)	No	Yes
(4)	No	No

LO 20-8

- h. When reporting on a company's compliance with a law, the CPAs may report on:

	Compliance with the Law Itself	Effectiveness of Internal Control over Compliance
(1)	Yes	Yes
(2)	Yes	No
(3)	No	Yes
(4)	No	No

LO 20-1

- i. Benchmarks that are objective and permit reasonably consistent measurement in an engagement performed under *Statements on Standards for Attestation Services* are referred to as:
- (1) Written assertions.
 - (2) Suitable criteria.
 - (3) Subject matter.
 - (4) Generally accepted auditing standards.

- LO 20-2** j. Which of the following is *least* likely to be the subject matter of an attestation engagement?
- (1) Behavior.
 - (2) Historical events.
 - (3) Suitable criteria.
 - (4) Systems or processes.
- LO 20-2** k. A restricted-use report on controls at a service organization related to security, availability, processing integrity, confidentiality, and/or privacy is referred to as a:
- (1) SOC 1 report.
 - (2) SOC 2 report.
 - (3) SOC 3 report.
 - (4) SOC 4 report.
- LO 20-6** l. The assurance services being developed that address user and preparer needs regarding issues of security, availability, processing integrity, confidentiality, and privacy within e-commerce and other systems are referred to as:
- (1) *PrimePlus* Services.
 - (2) XBRL Services.
 - (3) Risk Advisory Services.
 - (4) Trust Services.
- LO 20-4, 5, 6, 7, 8** 20–30. Following are descriptions of potential needs of clients for various services. For each need identify the type of service that would best meet the client’s need using the following:
- Attestation of prospective financial information
 - *PrimePlus/Elder* Care Services
 - Attestation of MD&A
 - Agreed-upon Procedures
 - SOC 1 (Service Organization Controls Type 1)
 - SOC 2
 - SOC 3
 - *SysTrust* in an area other than a SOC report
 - XBRL engagement
 - Other attestation service

Client Need	Type of Service
a. A computer manufacturing company wants to provide assurance about estimated future results to be included in the company’s annual report.	
b. A company that processes payroll for other companies wants to provide assurance on its internal control over financial reporting that will be useful to the auditors of the companies that use its services.	
c. A public company wants to provide its shareholders assurance about the narrative analysis of financial results provided in the company’s Form 10-K.	
d. A service organization wishes to provide a general-use report from its auditor on its processing integrity and confidentiality controls.	
e. The relative of an institutionalized uncle wants a CPA firm to oversee the uncle’s financial affairs.	
f. A bank wants a CPA firm to confirm account receivables of a company that has pledged the receivables as collateral for a loan.	
g. A service organization wishes to provide a restricted-use report from its auditor to regulators on its processing integrity and confidentiality controls.	
h. A grocery store wants to provide the highest level of assurance that its prices are less than the prices of its competitors.	

- LO 20-2, 3, 5, 6, 7** 20–31. Indicate whether a CPA may provide each of the following services, and whether independence is required, by placing a check in the appropriate box.

Service	May Provide; Independence Is Required	May Provide; Independence Is Not Required	May Not Provide
a. Compile a forecast for the coming year.			
b. Perform a review of a forecast the company has prepared for the coming year.			
c. Perform an examination of Management's Discussion and Analysis when they have not audited the year's financial statements.			
d. Issue a <i>SysTrust</i> examination report on the security against unauthorized access of a service organization's electronic processing system.			
e. Assist an elderly client with his estate planning.			

- LO 20-5, 6, 7, 8** 20–32. For each of the situations (a) through (f), select the CPA engagement that is most likely to be appropriate from the lists of services below:
1. Compliance.
 2. Continuous auditing.
 3. Forecast.
 4. Internal control over financial reporting.
 5. MD&A.
 6. *PrimePlus/ElderCare*.
 7. Service organization audit.
 8. *SysTrust*.
 9. *WebTrust*.

Each reply may be used a maximum of one time, with two replies not being used at all.

Situation	CPA Engagement
a. Williams is worried about the welfare of his father who lives in a distant state.	
b. ABC Company is involved in a very vibrant industry. It would like all of its press releases to include audited results, regardless of when they are issued.	
c. DEF Mortgage Banking Co. services mortgages for others, and the auditors of those other organizations are constantly inquiring of DEF concerning its internal control as a part of their audits of the other organizations.	
d. GHI Company would like to assure its website users of the reliability of its website and its operations.	
e. JKL would like all of its customers and potential customers to have assurance about the effectiveness of its internal controls related to processing information.	
f. MNO Company believes that it has effective internal control to assure itself that it complies with various legal requirements, but would like assurance from its CPA on compliance with the legal requirements.	

- LO 20-6, 7, 8** 20–33. Match the following definitions (or partial definitions) to the appropriate term. Each term may be used once or not at all.

Definition (or Partial Definition)	Term
a. A service developed by the AICPA and CICA to provide assurance about the reliability of systems other than electronic commerce systems.	1. CBIZ
b. A service developed by the AICPA and CICA to provide assurance on electronic commerce systems.	2. Financial forecast
c. An international information format designed specifically for business information.	3. Financial projection
d. Engagements that provide assurance on systems' (1) security, (2) availability, (3) processing integrity, (4) online privacy, and (5) confidentiality.	4. Limited assurance
e. Prospective financial statements that present an entity's expected financial position, results of operations, and cash flows for one or more future periods.	5. <i>PrimePlus/ElderCare</i>
f. Prospective financial statements that present expected results, given one or more hypothetical assumptions.	6. Reasonable assurance
g. Services to help older individuals maintain, for as long as possible, their lifestyle and financial independence.	7. Review
h. The level of assurance provided by CPAs who have performed a review of subject matter.	8. Social Security services
	9. Service auditor report
	10. <i>SysTrust</i>
	11. Trust Services
	12. <i>WebTrust</i>
	13. XBRL

Problems

All applicable problems are available with McGraw-Hill's *Connect® Accounting*. 

LO 20-7

Required:

20–34. *SysTrust* and *WebTrust* are Trust Services developed by the AICPA and the CICA.

- Present and describe the Trust Services principles.
- Present and describe the “criteria” related to Trust Services.
- What is the relationship between the principles and the criteria?
- Must a *WebTrust* or *SysTrust* report provide assurance on all of the principles?

LO 20-2, 3, 9

20–35. Assume that you are a partner with the firm of Slater & Lowe LLP. You have been asked by Grayson, Inc., an industrial supply company, to provide assurance about the change in existing customer satisfaction over the last three years. Grayson's management has indicated that the criteria it intends to use to evaluate customer satisfaction are a combination of customer retention rate and increase in dollar sales. Grayson's management will provide a schedule of the customer satisfaction measures and a note that describes the criteria used.

Required:

- If Grayson wants to provide the presentation and the CPA's report for general use by prospective customers, identify any available standards that provide guidance for such a service and the type or types of services that your firm could provide.
- Describe the factors that you should consider in determining whether the criteria are suitable.
- Assuming that you conclude that the criteria are suitable, draft your firm's report assuming that you perform an examination of the subject matter.

In-Class Team Case

LO 20-3, 8



Required:

20–36. Katherine Whipple of Food Queen Grocery, Inc., has asked you and your team to meet with her concerning a possible attest engagement relating to the assertion that Food Queen has the lowest overall prices of all grocery stores in the Salt Lake City area. Food Queen has just recently moved into the Salt Lake City area and is trying to establish a high-volume, profitable position. Whipple has suggested to you that she believes that while Food Queen certainly doesn't have the lowest prices on all of the 25,000 types of items it sells, on most any rational basis she believes that its prices are “on the whole” lower than the competition—Albros, Kruegers, and Safest. In thinking about this, you realize that to perform such an attestation engagement, suitable criteria must be used to evaluate the subject matter.

- For this engagement, what would you consider to be the subject matter?
- Provide an approach on how one might derive suitable criteria for such an engagement, given that costs are considered lowest on an overall basis, but not necessarily for every item.
- Discuss the nature of the required assertion from management for an engagement such as this.

Now consider the following: Whipple has suggested to you that when the engagement is complete she will use the results as part of an advertising campaign in which the ads suggest that Food Queen has the “certified lowest overall costs.” When you asked her what would happen if the engagement revealed that Food Queen didn’t have the lowest prices, she suggested that she would simply not use the report and wait a month or two and have you perform another engagement when she had had time to bring her prices down even lower.

- d. Are attestation engagements acceptable when the resulting report is to be used for advertising purposes?
- e. Assume that your examination revealed that, based on the criteria developed, Whipple’s assertion that Food Queen did have the lowest prices was fairly stated and that a general-use report was proper. Outline the nature of the allowable presentation in the advertising materials.

Research and Discussion Case

LO 20-6 20–37.

Assume that you are a CPA interested in expanding your services to provide *SysTrust* Services. Access the AICPA website and find guidance that will help you achieve your goal. Provide both the document (or other item) name and a brief summary of the guidance it provides.

